FACULTY OF INTERNATIONAL RELATIONS

Ing. Michal Hrubý
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European Economic Integration

EEI/Lecture-seminar 1

Prague University of Economics and Business

Who‘s who

- Ing. Michal Hrubý (michal.hruby@vse.cz)
  - Instructor, lecturer, examiner
  - NB227, consultation anytime upon agreement
- Mgr. Jarolím Antal, Ph.D. (jarolim.antal@vse.cz)
  - Supervisor (get in touch via Michal first)

Aim

- The course aims to enable the students *who do not focus on the European economic integration* as their major field to understand the mechanism of the economic and political functioning of the EU in the current context: consequences of widening and deepening of integration (and territorial enlargement of the EU itself), in contrary to consequences of globalization, global financial crisis, immigration pressures, *(climate change and energy crisis)*.

Schedule

Date	Topic
20.04.2026	Intro and history
21.04.2026	EU history, institutions
23.04.2026	EU decision-making
27.04.2026	EUCO simulation
29.04.2026	EU Single Market I
30.04.2026	EU Single Market II
04.05.2026	Debate I
06.05.2026	Debate II
07.05.2026	Debate III
11.05.2026	Future of the EU
13.05.2026	EU current challenges
14.05.2026	Wrap-up and revision
?	*Final test*

Grades

Activity	Points	Min.
Debate organisation and discussion	20	
EUCO simulation and other in-class activities	20	30
Active in-class participation	5	
News presentation	5	
Final test	50	30
Sum	*100*	*60*

Requirements

- Activity-specific requirements; late submissions not accepted
- Participation in at least *10 out of 12* classes (NB 177B)
- Debate/simulation/news
  - Not participating means losing all activity points
- Active in-class participation
  - Let‘s speak your mind
- Final test
  - A single date for all students, pen & paper, open essay questions

Grades (excl. final test)

- Debate organisation and discussion (20)
- EUCO simulation and other in-class activities (20)
- Active in-class participation (5)
- News presentation (5)

Debate

- Two students present two opposing views on the topic, and one moderates
  - The positions are prepared in advance (individually)
  - Supportive handout can be sent in advance to students
- The discussion is divided into three blocks, in which each student has 5 to 10 minutes to present their position
  - Subsequently, positions will be commented on by the audience
- The discussion follows each block
- Up to ~45-50 minutes

Simulation

- European Council (EUCO) simulation
  - Search for information and understand a country‘s position (individually)
  - Prepare arguments, understand the positions of others, seek compromise
  - Keep your position to yourself in the meantime
- European institutions‘ roleplay, EUCO simulation
- Position summary (an extra written individual output)
- Up to ~90 minutes

News

- The student chooses a topic from the daily press related to the EU; starting with a news presentation tomorrow
- The topic must be relevant and up-to-date
- Structure:
  - Background of the issue
  - Position of the EU (or reaction, proposal)
  - Position of selected member states (those in favour, those against)
- Please follow the structure...
- Up to ~5-10 minutes

Other in-class activities

- Ad hoc activities to support our discussion with real-world data
  - (Please, do bring your laptop for each class)
- Processing of the readers
- Open discussions
- Follow-up talks as a revision of the previous classes

Debate topics

- Pick one per team of three/four
  - Is the EU democratic?
  - Pros and cons of the EU enlargement
  - The outlook for the 28th regime
  - Evaluating the competitiveness of the EU
  - The future of the euro

News

- Who starts?
- From tomorrow

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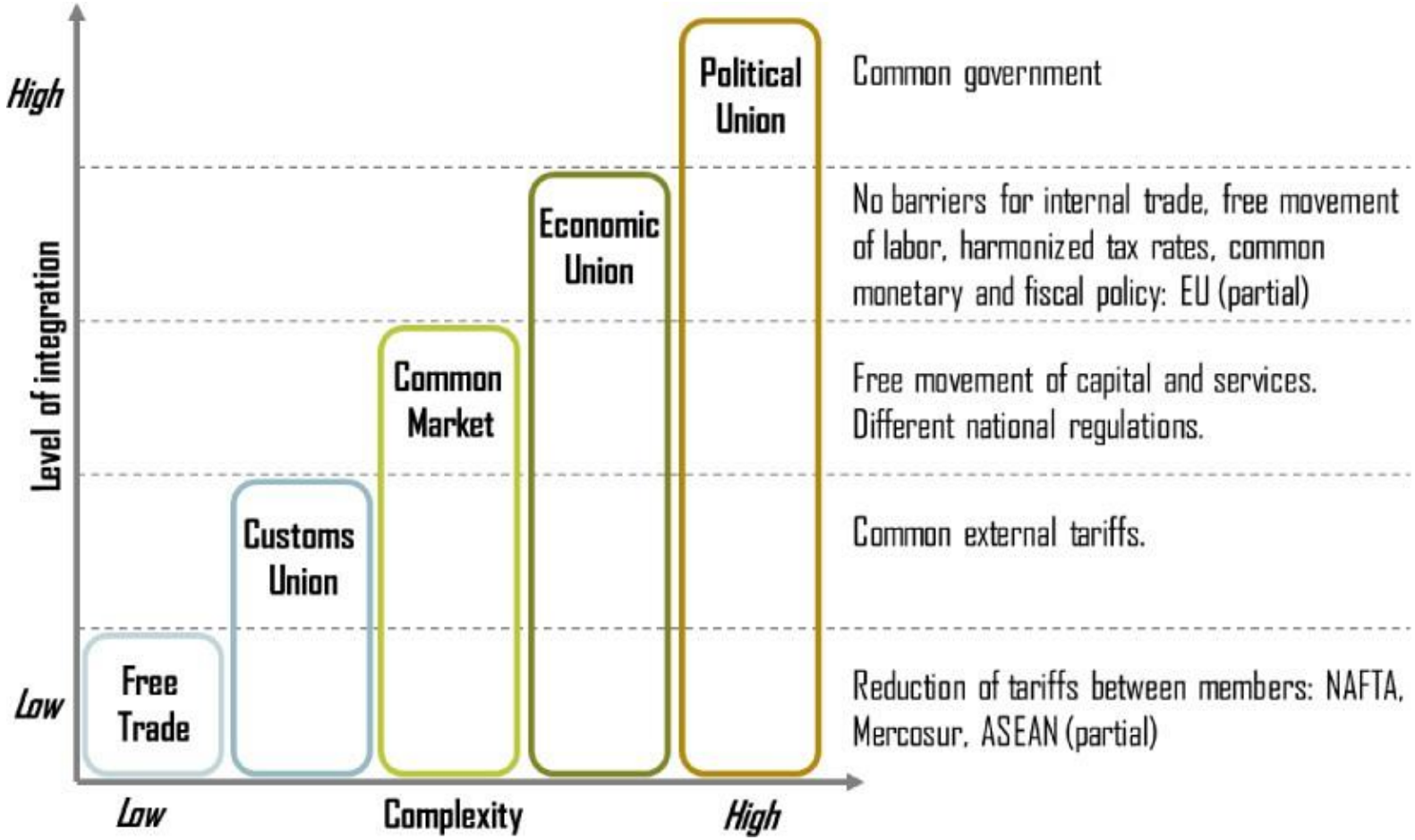
What is a state, and why does it change?

- A state has fixed territory, sovereignty, legal independence and legitimacy
- Globalisation and unmet demands (security, justice, economic growth) have weakened the state
- States increasingly cooperate to achieve goals they cannot reach alone
- This cooperation ranges from loose arrangements to deep integration

Types of political organisation

- State: free-standing entity with territory, sovereignty, independence and legitimacy
- International organisation: voluntary cooperation among states; intergovernmental in character
- Regional integration association: transfer, sharing or pooling of authority; both intergovernmental and supranational in character
- The EU is the world's most advanced example of a regional integration association

Levels of economic integration (example)



Pros and cons of regional integration

- Pros
  - Reduces conflict; increases global influence; enlarges markets; promotes innovation; raises standards in weaker members; promotes democracy and human rights
- Cons
  - Loss of sovereignty and national identity; democratic deficit in supranational institutions; risk of a distant European "superstate"; job losses from increased competition; financial burden of bailouts and transfers

How do we explain European integration

- Central question: Why and how do states voluntarily share or transfer sovereignty?
- All major theories address three common dimensions:
  - Who are the key actors?
  - What drives their preferences?
  - Where does integration ultimately lead?
- No single (simple) theory explains the EU fully; they are complementary lenses

Federalism, confederalism

- Federalism: states should form a federation because they can no longer guarantee citizens' security alone; power is voluntarily divided between a federal core and constituent units (normative theory)
- Confederalism: members retain sovereignty and delegate only limited powers to a centre
- EU confederal traits: separate national legal systems, independent tax systems, no common military, primary loyalty remains national
- Historical confederal examples: USA (1781-1788), Germany (1815-1871)

Neo-functionalism, intergovernmentalism

- Neo-functionalism (Haas, 1958):
  - Cooperation in one sector spills over into others; integration becomes self-sustaining
  - Political actors shift loyalties toward a new supranational centre
  - Fell out of favour after de Gaulle's Empty Chair Crisis (1965-66), which showed that spill-over is not automatic
  - Haas himself declared the theory "obsolescent" in 1975; later partially revived by Schmitter, Sandholtz, Stone Sweet
- Intergovernmentalism (Hoffmann, 1966):
  - Member state governments are the key actors; not supranational institutions
  - Integration is driven by national interests and interstate bargaining
  - Integration only occurs when gains permanently outweigh losses for nation-states

Liberal intergov., multi-level governance

- Liberal intergovernmentalism (Moravcsik, 1998):
  - Three stages: national preference formation (shaped by domestic economic interest groups) → interstate bargaining → institutional choice (credible commitments)
  - Explains major integration milestones well (Single European Act, Maastricht); less suited to explaining incremental day-to-day EU decision-making
- Multi-level governance (Marks & Hooghe, 2001):
  - Authority is dispersed both upward (to supranational institutions) and downward (to regional and local governments) from central states
  - Both vertical and horizontal relationships between actors matter
  - Developed in response to the Maastricht Treaty (1992); challenges purely state-centric models of integration

Liberal intergov.: international cooperation

Stages	National Preference Formation	Interstate Bargaining	Institutional Choice
Alternative independent variables underlying each stage	What is the source of underlying national preferences?	Given national preferences what explains the efficiency and distributional outcomes of interstate bargaining?	Given substantive agreement, what explains the transfer of sovereignty to international institutions?
	Economic interests or Geopolitical interests?	Asymmetrical interdependence or Supranational entrepreneurship?	Federalist ideology or Centralized technocratic management or More credible commitment?
Observed outcomes at each stage	Underlying national preferences →	Agreements on substance →	Choice to delegate or pool decision-making in international institutions

Source: Moravcsik (1998), p. 24.

Multi-level governance

What can these theories explain?

- No single theory captures the full complexity of the EU
- Brexit: intergovernmentalism predicted states can always reassert sovereignty ✓; neo-functionalism struggled to explain a reversal of integration ✗
- Eurozone crisis: liberal intergovernmentalism explains the bailout logic ✓; multi-level governance explains implementation failures across levels ✓
- Day-to-day EU governance: best explained by multi-level governance and institutionalist approaches, not grand bargain theories
- The EU today sits between economic union and political union

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Reader 1

- Sapir, A. (2011). European integration at the crossroads: a review essay on the 50th anniversary of Bela Balassa‘s Theory of economic integration. *Journal of Economic Literature*, *49*(4), 1200-1229.
- See the document server (in Insis)
- Let‘s process the 1. Introduction, 2. Economic Integration: General Considerations, (and 3. The Welfare Effects of Integration)

Reader 1

- (1) Introduction + (2) Economic Integration: General Considerations
- Seek answers to:
  - The process of economic integration as defined by Balassa
  - The difference between EEC and EFTA
  - Euro adoption, under what conditions?
- Let‘s discuss